

1. Introduction

Summary of the question:

A regional grocery retailer is considering adding sustainability messaging (e.g., “Eco-Friendly Packaging”) to its private-label cleaning products. The marketing team wanted to understand whether this messaging will influence purchase intent and brand perception. The Consumer Insights Analyst was tasked with evaluating the potential impact of sustainability messaging on shopper behavior and recommending the next steps.

Customer Insight Strategy:

To answer the stakeholder’s question, **“Should the retailer implement sustainability messaging on its private-label cleaning product?”**, we first need to understand the following;

- Is there sufficient evidence that implementing sustainability messaging would have a meaningful impact on consumer behavior?
- **Actions to address this question:**
 - Review industry reports to understand perspective on whether sustainability messaging influences purchase intent.
 - Conduct analysis of available survey data on respondent awareness of sustainability, and behavior when they are shown a mock-up label with or without sustainability messaging.
 - Conduct descriptive analysis evaluating the distribution of responses.
 - Assess statistical correlations and associations in awareness and behavior.

2. Customer Insight Assessment

2.1 Industry Literature Review

Published findings by **NielsenIQ** identified five consumer groups based on their beliefs and behaviors around sustainability and consumption. Each group perceives sustainability differently and is motivated by distinct factors to act. The level of action also depends on the dynamics within each group.

This insight suggests that **broad sustainability messaging is unlikely to resonate universally**. Retailers may need to develop **targeted messages for specific products** that connect with the motivations and awareness levels of each group. Additionally, **Capital One Shopping** research found that eco-friendly shoppers have a strong preference for purchasing retail products online. The approach to effective messaging may vary when presenting products online.

Across all segments, however, two consistent barriers emerge:

1. **Cost sensitivity** — higher prices can discourage action.
2. **Lack of choice** — lack of choices in sustainable products affect behaviors.

Given these findings, it is possible that broad sustainability messaging will have less impact than messaging targeted to one of these five groups to drive purchase intent.

2.2 Survey Data Analysis

Two surveys datasets were available, the first assessed respondents' awareness of sustainability claims, perceived importance of sustainability in cleaning products, and purchase intent with and without sustainability messaging. The second survey evaluated behavior as a concept test where respondents were shown one of two packaging mock-ups: either with sustainability messaging or without, and were asked to rate their appeal, trust, and likelihood to purchase.

To understand participants' **perceptions**, we aimed to answer:

- Does awareness of sustainability claims influence how important sustainability is when considering which cleaning products you purchase?
- Does awareness of sustainability claims affect the intent to purchase a cleaning product with or without a sustainability message?
- Is there a correlation or association between awareness of sustainability claims, the importance of sustainability, and the intent to purchase?
- If correlations or associations exist, are they strong enough to be meaningful?

To understand participants' **behavior**, we explored:

- Does appeal, trust, or likelihood to purchase increase significantly when participants are shown a product mock-up with a sustainability message compared to one without?
- Is there a correlation or association between the presence of a sustainability message, appeal, trust, and likelihood to purchase?

- If correlations or associations exist, are they strong enough to be meaningful?

During data processing, the 5-point **Likert scale ratings** from the perception study were grouped into three categories:

- Scores of 1–2 = **Negative**
- Score of 3 = **Neutral**
- Scores of 4–5 = **Positive**

The same method was applied to the behavior study, where the 10-point Likert scale ratings were categorized as:

- Scores of 1–4 = **Negative**
- Scores of 5–6 = **Neutral**
- Scores of 7–10 = **Positive**

This approach allowed for consistent, ordinal treatment of the data and meaningful visualization of distribution patterns. Data are presented as **percent positive (blue)**, **percent neutral (gray)**, and **percent negative (orange)**.

Frequency Distribution

Figure 1 shows the results of the frequency distribution of importance and purchase intent by awareness of sustainability claims. The results show that the percent of positive responses across all factors were similar between respondents who were aware or not aware of sustainability claims, ranging from 34.8% to 44.7%. Notably, the proportion of positive responses was comparable to the negative responses across variables between the awareness groups.

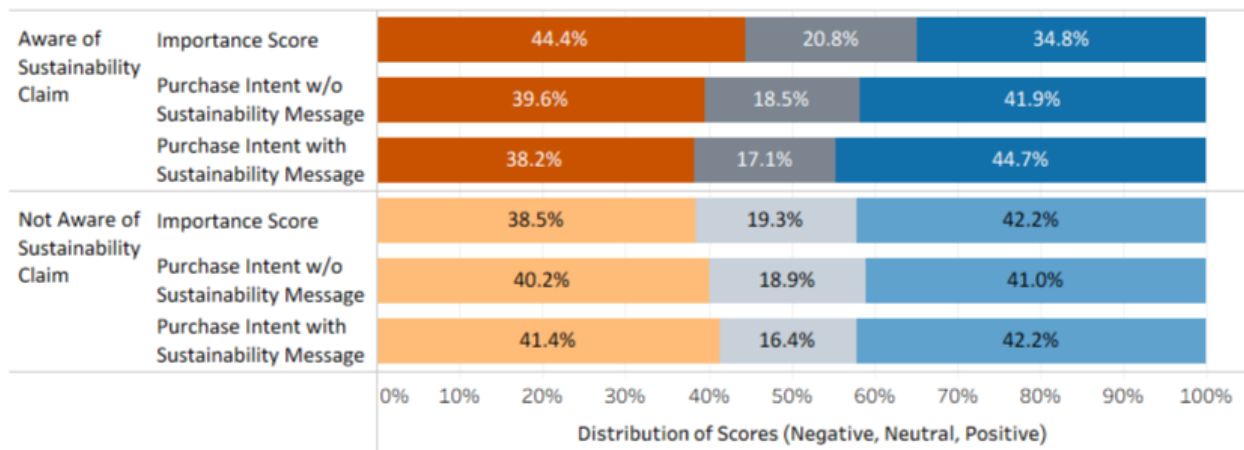


Figure 1: Distribution of scores per Likert question and awareness groups in the perception study.

Figure 2 displays the distribution of scores per question in the behavioral survey. As observed in the perception survey, a similar proportion of positive response was received for appeal, likelihood to purchase, and trust, across respondents who were shown a label with a sustainability message and those who were shown a label without a sustainability message.

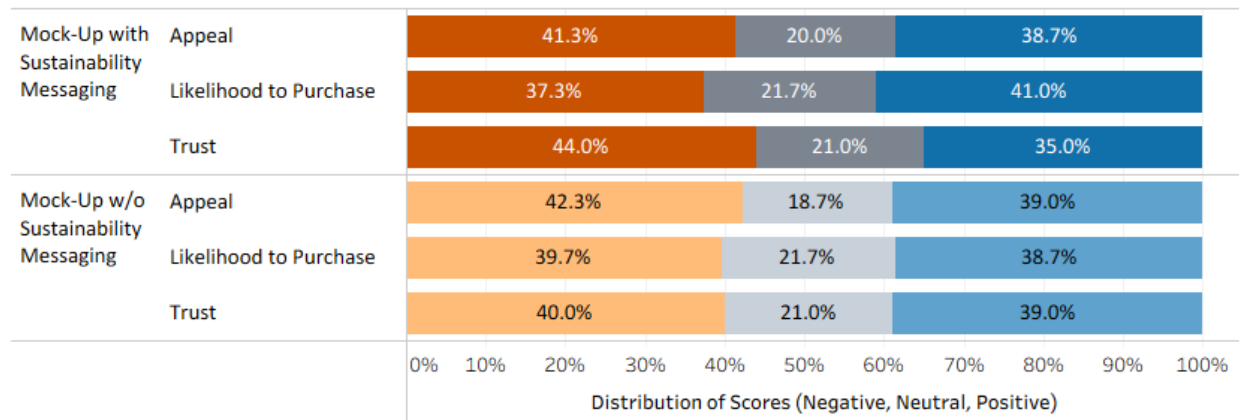


Figure 2: Distribution of scores per Likert question and presence of sustainability messaging group in the behavioral study.

Correlations (Pearson)

No strong correlations were identified between the observed variables for either perception or behavior, as shown in Figures 3 and 4.

Aware of Sustainability Claims

	Importance Score	Purchase Intent No Message	Purchase Intent With Message
Importance Score	1.00	0.03	0.04
Purchase Intent No Message	0.03	1.00	-0.03
Purchase Intent With Message	0.04	-0.03	1.00

Not Aware of Sustainability Claims

	Importance Score	Purchase Intent No Message	Purchase Intent With Message
Importance Score	1.00	-0.03	-0.01
Purchase Intent No Message	-0.03	1.00	-0.06
Purchase Intent With Message	-0.01	-0.06	1.00

Figure 3: Perception - Correlation Matrix of importance score, and purchase intent with and without messaging

Shown Mock-Up with
Sustainability Messaging

	Appeal	Likelihood to Purchase	Trust
Appeal	1.00	0.11	-0.06
Likelihood to Purchase	0.11	1.00	0.02
Trust	-0.06	0.02	1.00

Shown Mock-Up w/o
Sustainability Messaging

	Appeal	Likelihood to Purchase	Trust
Appeal	1.00	0.06	-0.02
Likelihood to Purchase	0.06	1.00	0.02
Trust	-0.02	0.02	1.00

Figure 4: Behavior - Correlation Matrix of appeal, likelihood to purchase, and trustAssociations

The results shown below in Table 1 suggest that there is not a statistically significant association between awareness of sustainability and importance or intent to purchase (perception study). Though not statistically significant, the trend indicates that those who were aware of sustainability claims, compared to customers who were unaware, were less likely to rate importance positively. However, customers who were aware, were 12% and 3% more likely to rate intent to purchase as positive, with and without, sustainability messaging when compared to unaware customers.

Similarly, when evaluating behavior by showing customers a label mock-up with and without sustainability messaging, the results do not indicate a statistically significant association with appeal, trust, or likelihood to purchase. Customers who viewed the label with sustainability messaging were 2% and 10% more likely to rate appeal and likelihood to purchase positively, but less likely to rate trust as positive.

Table 1. Assessment of the associations of perception and behavior				
	Dependent Variable ^a	Odds Ratio ^b	95% confidence interval ^b	p-value ^c
Perception Study Question: Is awareness of sustainability claims significantly associated with importance and intent to purchase?	Importance	0.76	0.56 to 1.03	0.08
	Intent to purchase with sustainability message	1.12	0.83 to 1.53	0.46
	Intent to purchase with no sustainability message	1.03	0.76 to 1.39	0.85
Behavioral Study	Appeal	1.02	0.75 to 1.37	0.92
	Trust	0.85	0.63 to 1.14	0.27

<i>Question: Is sustainability messaging on labels significantly associated with appeal, likelihood to purchase, and trust?</i>	Likelihood to Purchase	1.10	0.82 to 1.49	0.52
a- In the perception study, the 5-point Likert scale response for importance and intent to purchase (with and without sustainability messaging) was categorized as Negative (selection of 1 or 2), neutral (selection of 3) and positive (selection of 4 or 5). For the behavioral study, a 10-point Likert Scale response for appeal, trust and likelihood to purchase was categorized as negative (selection of 1 to 4), neutral (selection of 5 to 6), and positive (selection of 7 to 10). b- Parameter estimates, 95% CI, and p-values were obtained from ordinal logistic regression models. In the perception study awareness was defined as the independent variable (with unaware as the reference group), while in the behavioral study the mock-up with or without messaging was the independent variable (with no message as the reference group). Separate analyses were conducted for each outcome. c- A p-value <0.05 was considered as statistically significant				

3. Discussion and Recommendations

The results of the survey data analysis indicate that purchase intent may not simply be influenced by awareness of sustainability or having messaging on the label. These findings, coupled with evidence from industry research, suggest that **the effectiveness of sustainability marketing depends on understanding attitude and behavioral differences within consumer groups.**

While broad, one-size-fits-all messaging may appear appealing; it is unlikely to shift behavior meaningfully. Instead, success lies in **identifying which consumer segments are most receptive** and tailoring messages that align with their motivations and trust drivers.

Our findings highlight the importance of gathering more granular data from consumers regarding their perceptions, understanding, and motivations for purchasing sustainable or eco-friendly cleaning products. Future studies should include measures of **trust, importance, and likelihood to purchase** alongside segmentation and demographic data to determine which variables best predict purchasing intent.

Such an approach would allow the retailer to:

- Confirm whether industry research findings are generalizable to its own customer base.
- Refine or redefine consumer segments as needed.
- Develop **targeted sustainability marketing strategies** designed to drive measurable profit gains.

In short, while the current analysis did not uncover strong statistical relationships, it provides **directional evidence and strategic clarity.** After the next round of data collection and analysis, the path forward is to **test insights in a pilot study**, where targeted sustainability messaging can

be applied, measured, and optimized for the segments most likely to respond. The findings from the pilot study should help establish realistic KPIs to measure progress in closing the average \$70K sales gap between the private label and national brand.

4. References

NeilsonIQ: <https://nielseniq.com/global/en/insights/report/2023/how-to-turn-green-consumer-intentions-into-sustainable-actions/#report>

Capital One: <https://capitaloneshopping.com/research/eco-conscious-consumer-statistics/>